Bank Negara Malaysia - Policy Document

Circular: BNM/RH/PD 036-44 | Title: Climate Risk Management and Scenario Analysis (Revised) | Issued by: Financial Stability Department | Issue date: 12 May 2026 | Effective date: 01 January 2027

Part A - Overview

A.1 Background

This policy document supersedes BNM/RH/PD 029-7 issued in 2022. It sets out Bank Negara Malaysia's requirements on the management of climate-related risks (physical and transition risks) and on the conduct of climate scenario analysis by financial institutions, in alignment with the Joint Committee on Climate Change Phase 2 commitments.

A.2 Applicability

• Locally-incorporated commercial banks (S 213/214 of FSA 2013)

• Locally-incorporated Islamic banks (S 8/9 of IFSA 2013)

• Insurers and Takaful operators

• Investment banks

• Development Financial Institutions under DFIA 2002

Part B - Key Requirements

B.1 Governance

Boards must establish board-level oversight of climate risks, with at least one director having documented climate-risk competency. Senior management must designate a Climate Risk Owner of Senior Vice President grade or above with direct reporting line to the CRO.

B.2 Risk Identification and Materiality Assessment

Institutions must perform an annual climate-risk materiality assessment covering: (i) Physical risks - acute (flood, storm, heatwave) and chronic (sea-level rise); (ii) Transition risks - policy, technology, market, reputation, liability. The assessment must be approved by the Board Risk Committee and incorporated into the Group Risk Appetite Statement.

B.3 Scenario Analysis

• Minimum 3 scenarios annually: Disorderly Transition, Net Zero by 2050, Hot House World

• Time horizon: short (3 yr), medium (10 yr), long (30 yr)

• Methodology aligned with NGFS reference scenarios v4.2

• Material exposures: Plantation, Property, Power, Manufacturing portfolios

• Results presented to Board Risk Committee + filed with BNM within 30 days of approval

B.4 Disclosure

Annual climate-related disclosure aligned with TCFD framework, integrated within the Annual Report. Disclosure must cover Governance, Strategy, Risk Management, Metrics and Targets. Scope 1, 2, and material Scope 3 financed emissions to be disclosed. Independent assurance required from FY2028 onward.

Part C - Implementation Timeline

Milestone	Target Date	Action
Internal gap assessment complete	30-Sep-2026	Institutions
Updated policies and procedures	31-Dec-2026	Institutions
Effective date	01-Jan-2027	BNM
First materiality assessment under PD036	31-Mar-2027	Institutions
First scenario analysis under PD036	30-Jun-2027	Institutions
Independent assurance start	01-Jan-2028	Institutions

Part D - Supervisory Approach

BNM will engage with institutions on a thematic-review basis in 2027 and a full-cycle review in 2028. Institutions that fail to meet the policy requirements will be subject to capital add-ons under Pillar 2 of the regulatory capital framework, ranging from 25 bps to 200 bps of risk-weighted assets, until remediation is satisfactory.

Part E - Contacts

For queries on this policy document, contact: Financial Stability Department, Bank Negara Malaysia. Email: climate_supervision@bnm.gov.my. Telephone: +603-2698 8044. Office hours: 09:00 - 17:30 MYT, Monday to Friday.

Part F - Annexes

- Annex 1 - NGFS scenario specifications (v4.2)
- Annex 2 - TCFD-aligned disclosure template
- Annex 3 - Materiality assessment methodology
- Annex 4 - Financed emissions calculation guidelines
- Annex 5 - Frequently Asked Questions